

TABLE I
GOVERNMENT IMPETUS FOR 'MAKE IN INDIA'
IN CONSUMER DURABLES SECTOR

Scheme/ policy	Benefits available
Electronics manufacturing clusters	Subsidies on infrastructure cost to set up special electronics manufacturing zones
Modified Special Incentive Package Scheme (MSIPS)	Subsidy for investments in capital expenditure of 20 per cent for investments in special economic zones and 25 per cent in non-special economic zones
Investment allowances and deductions	Investment allowance (additional depreciation) at the rate of 15 per cent to electronics manufacturing companies investing more than ₹ 250 million in plants and machinery. This benefit will be available for three years, that is, for investments made up to March 31, 2017

TABLE II
LOCALISATION STATUS ACROSS SELECT CONSUMER
DURABLE PRODUCTS

Product	Percentage of localisation	Majority imported components/parts
Air-conditioners	30% - 40%	• Sheet metals • Compressors • Coils • Motors • Refrigerants • Electronic components/ semiconductors
Refrigerators	70% - 75%	• Sheet metals • Compressors • Condensers • Motors • Refrigerants • Electronic components/semiconductors
Washing machines	60% - 70%	• Sheet metals • Motors • Electronic components/semiconductors
TVs	25% - 30%	• LCD or LED panels • Electronic components/semiconductors

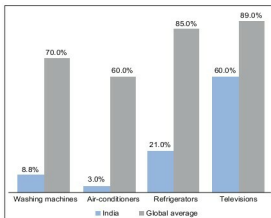


Fig. 4: Market penetration of select consumer durable products - global average versus Indian average (Source: JP Morgan estimates, E&Y analysis)

plastic injection moulding, sheet metal assembly, PCB assembly and box building assembly rather than end-to-end contract manufacturing. Most of these mainly undertake last-mile assembly, and not much in original design manufacturing/R&D designing.

Value addition through supplier and contract manufacturer base in India is quite limited as majority of high-value and critical

Emerging trends in market

- Advent of smart sensors leading to smart products
- Enhanced consumer awareness about new and innovative technologies via the Internet
- Rise of e-commerce as well as brick-and-mortar retail chains with high market penetration possibility
- Infrastructural development (with respect to electrification, broadband connectivity) in non-metro locations (tier-1, tier-2 cities and rural area)
- Easy and affordable options for consumer finance

components are still imported. Average localisation level across products is still at around 30 per cent to 40 per cent, as per E&Y report. However, in certain product categories, localisation is as high as 70 per cent to 75 per cent, but sourcing is completely import-dependent for high-value electronic components/semiconductors across all product categories (Table II).

Locally-sourced components mainly include:

- Injections moulding parts
- Metal castings and stampings
- Motors (low-end)
- Compressors (limited volumes)
- Electrical components (wiring, plugs and the like)
- Packaging material

What is next

Growing demand for manufacturing in the consumer electronics segment represents growth opportunity for EMS industry in the country. In fact, China is becoming expensive and India now has the opportunity to make it as the preferred electronics manufacturing destination. This, in turn, may help the Indian EMS industry to get competitive advantage in the global market.

Considering the importance of EMS in the consumer electronics industry, we took a holistic look on how the growing demand for consumer electronics is driving the EMS industry. Indeed, senior-level stakeholders from within the industry were surveyed